SUMMARY · MK 3 MARKETING MANAGEMENT · WEEK 7

Marketing Mix — Product: Levels, New Product Development & Life Cycle

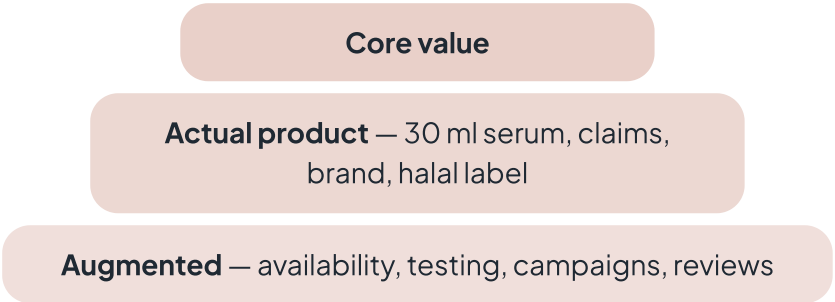
After STP, the marketing mix begins with product: three product levels, classifications, individual-line-mix decisions, new-product strategy and the eight-stage NPD process, and the product life cycle. Case: L'Oréal Indonesia — Garnier squeezed by faster local and China-made brands; defend, build or buy?

Material

1 Products and their three levels

Offers blend goods and services, increasingly experiences; "products" include services, organizations, persons, places, ideas. Levels: **core customer value** (Harley: freedom, power, authenticity), **actual product** (the bike, name, sound), **augmented product** (warranty, service, HOG community). Features are easily copied; lasting differentiation often sits in augmentation and core value.

2 The three product levels as rings Deep dive



Local rivals attack the actual level; trust and service at the augmented level are harder to copy.

3 Product classifications

Consumer products: **convenience** (frequent, cheap — wide distribution), **shopping** (compared — selective distribution), **specialty** (strong brand preference — exclusive distribution, high price), **unsought** (heavy selling). Industrial: materials & parts, capital items, supplies & services.

4 Individual, line and mix decisions

Individual decisions: attributes, branding, packaging, labeling, support services. Product lines: length; **line filling** (within the current range) vs **line stretching** (beyond it — down, up or both). Product mix dimensions: width (lines), length (total items), depth (versions), consistency. Timberland: width 4, length 14.

5 New product development (NPD)

New products come by **acquisition** or **internal development**; ~60% of new CPG products fail. Eight stages: idea generation → screening → concept development & testing → marketing strategy → business analysis → product development → test marketing → commercialization.

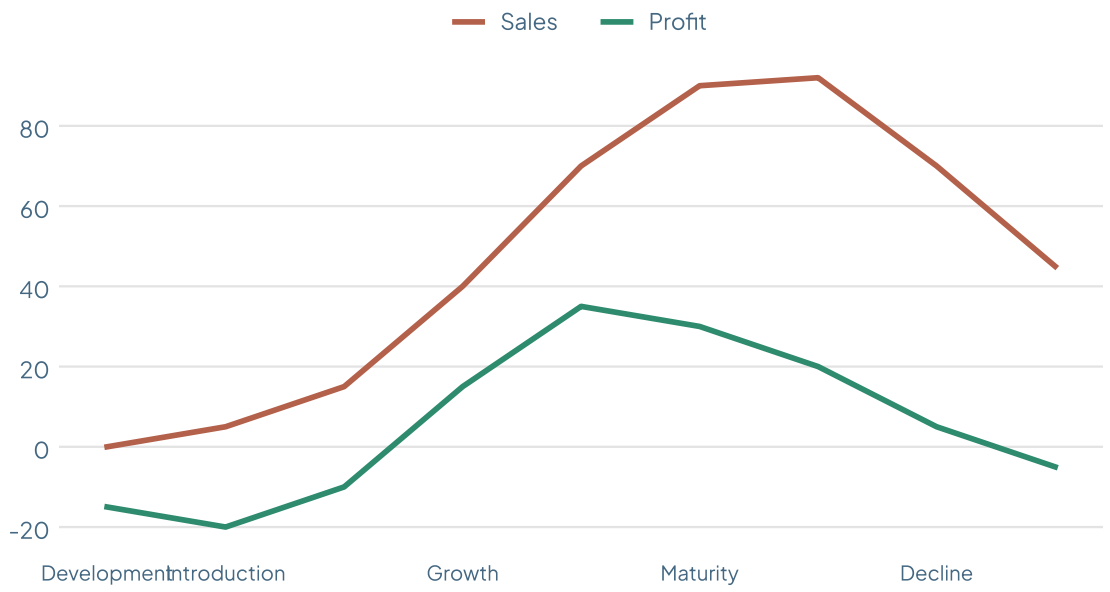
6 The product life cycle (PLC)

PLC: development → introduction (awareness, trial) → growth (improve, extend, widen distribution) → maturity (modify market, product or mix) → decline (maintain, harvest, drop). Not all products follow every stage; PLC can describe a class, a form or a brand; styles, fashions and fads have special patterns.

7 The PLC curve: sales and profit don't move together

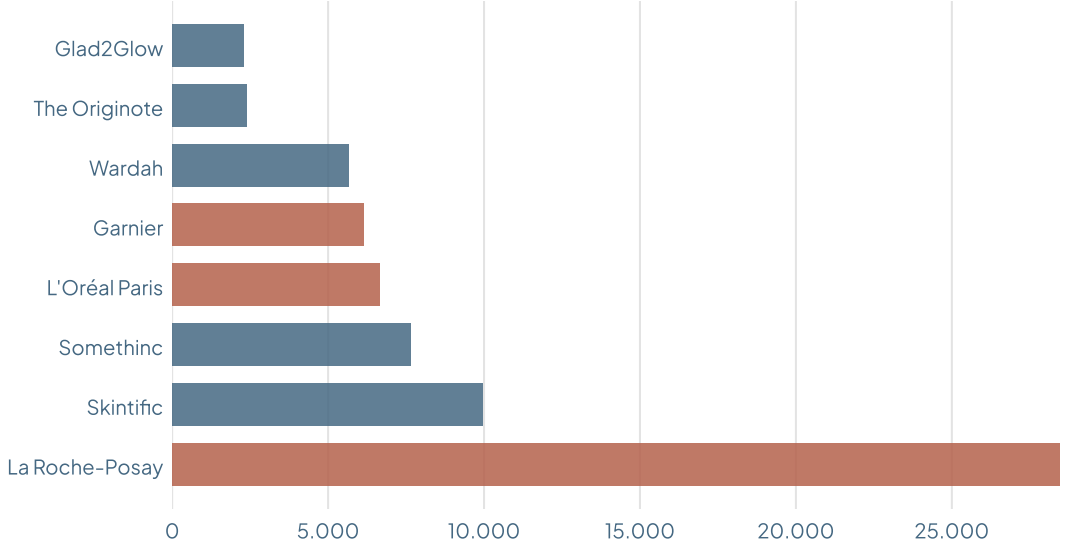
Deep dive

Product life cycle (conceptual)



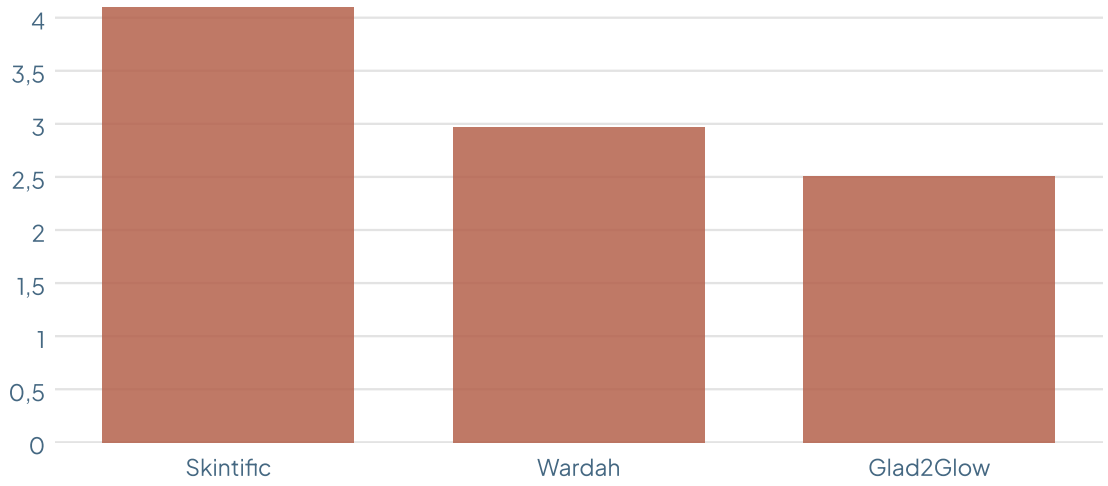
Profit peaks before sales; brightening serums are in maturity.

Brightening serum price per ml (IDR)



Coloured bars = L'Oréal Group brands.

Top skincare shares on Shopee, Q1 2025 (%)



Garnier ranked 10th.

≡ **Garnier 15 ml**

≈ IDR 92,000 at list per ml; ≈ IDR 60,700 at the 34% discount.

8 Consumer product classes and what they mean for the marketing mix

	Convenience	Shopping	Specialty	Unsought
Buyer behaviour	Frequent, little planning, little comparison	Less frequent, compares price, quality, style	Strong loyalty, special effort, no comparison	Unaware or not thinking of buying
Price	Low	Higher	High	Varies
Distribution	Wide, everywhere (warungs, minimarkets)	Selective, fewer outlets	Exclusive, one or few outlets per area	Varies

Promotion	Mass promotion by the producer	Advertising + personal selling by producer and retailer	More targeted	Aggressive advertising and personal selling
Examples	Sachet detergent, instant noodles, phone credit	Fridges, mid-range phones, clothing	Luxury watches, professional cameras	Life insurance, blood donation, burial plots

Industrial products are split into materials and parts (raw materials, components), capital items (installations, equipment), and supplies and services (operating supplies, maintenance and advisory services).

Kotler's brand development matrix. When adding products, a firm chooses among four strategies:

↕ Brand name: new ↑

Multibrands
New brands in the same category (Rinso and Surf). Reach different segments, risk of cannibalisation.

New brands
New brand in a new category. Expensive, but free of old associations.

Line extensions
Existing brand, new variants in the same category (Rinso Liquid, Rinso Anti-Stain). Cheap, but can "tire" the brand.

Brand extensions
Existing brand moves into a new category (Sunlight from dishwashing to other cleaners). Uses existing trust; risks damaging the image if it fails.

↔ Product category: existing → new

≡ **Link to the cases**

Option C in Case 2 (a new value sub-brand for detergent) is a *multibrand* strategy. This week's L'Oréal case is about managing a *portfolio* of global brands against local brands — when a line extension is enough, when a new brand is needed, and when to prune unprofitable brands.

Key takeaways

1. Product levels: core value, actual, augmented.
2. Convenience, shopping, specialty, unsought — drive distribution and price.
3. Line filling (within range) vs stretching (beyond range).
4. Mix: width, length, depth, consistency.
5. New products: acquire vs develop; eight NPD stages; ~60% fail.
6. PLC: introduction → growth → maturity → decline; in maturity modify market, product or mix.
7. When everyone meets a requirement (e.g. halal), a PoD becomes a PoP.

Case studies

Case & worked answers

L'Oréal in Indonesia: managing a global portfolio in a local-brand market — worked answers

Situation: ~IDR 250bn (illustrative) for 2027–2029; L'Oréal is strong offline but online Garnier ranks 10th behind Skintific, Wardah and Glad2Glow (China-made local registrations); La Roche-Posay and CeraVe are rising; halal is mandatory from Oct 2026.

Q1: Garnier serum core = brighter skin; actual = 30 ml, "30× Vit C", halal; augmented = availability, testing, campaigns. Skintific attacks the actual level; L'Oréal can still differentiate at core and augmented levels (research trust, dermatologist endorsement).

Q2: Garnier serum = shopping; micellar water = convenience; LRP serum ≈ specialty — implying wide, widest and selective distribution respectively.

Q3: 15 ml at list price per ml ≈ IDR 92,000; at the 34% sale price ≈ IDR 60,700 — Option A's IDR 59,900 makes the discount permanent. Mandatory halal turns L'Oréal's PoD into a category PoP.

Q4: width 4 divisions (13 brands); Consumer Products sample ~7 items. The 15 ml pack is downward line stretching; estimate cannibalization through marketplace test cells.

Q5: Glycolic Bright runs all eight stages over decades; local challengers compress them via trends, contract manufacturing and live-commerce. B builds capability but is slow; C is fast but China's acquisitions failed — hence minority stakes.

Q6: brightening serums = maturity (modify the product plus mix); barrier repair = growth; sunscreen = growth/early maturity.

Q7 example: ~60bn lean A, ~150bn B on dermatological/barrier repair with local halal production, ~40bn C as a minority stake; success measure = online skincare share (back to top 5).

Worked examples

Problem 1 · Easy **Harga per ml**

Serum A: 20 ml Rp150.000. Serum B: 30 ml Rp199.000. Mana yang lebih murah per ml, dan berapa harga 15 ml jika mengikuti harga per ml serum B?

1. A: 150.000 ÷ 20 = Rp7.500 per ml.
2. B: 199.000 ÷ 30 = Rp6.633 per ml → lebih murah.
3. 15 ml × 6.633 = Rp99.500.

Answer: Serum B lebih murah per ml (Rp6.633). Kemasan 15 ml setara ± Rp99.500; harga di bawah itu berarti "diskon" per ml.

Practice questions

Try answering first. The answer key is below each question.

1. Once halal is mandatory, the halal label shifts from PoD to…

A. Stronger PoD
B. PoP
C. Core value
D. Augmented

Answer: B. Everyone has it.

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2. A 15 ml pack priced below Garnier's lowest price point is…

A. Line filling
B. Downward stretching
C. Upward stretching
D. Diversification

Answer: B. Below the current range.

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3. In maturity, profit usually…

A. Grows fastest
B. Is squeezed by competition
C. Negative
D. Unchanged

Answer: B. Profit peaks before sales.

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4. A dermatologist-recommended LRP serum is closest to a…

A. Convenience
B. Shopping
C. Specialty
D. Unsought

Answer: C. Strong preference, selective distribution.

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5. The NPD stage testing in a real market before full launch is…

A. Screening
B. Business analysis
C. Test marketing
D. Commercialisation

Answer: C. E.g., a Shopee-exclusive launch.

Sources

- -P3MD- Week 7–MK3_Student.pdf
- L'Oréal in Indonesia (SBM-ITB case)
- Kotler & Armstrong bab 8–9